

REYNOLDS VS. QUALITY CARE HOME, INC., ET AL.

Case Number: 22CV-0200604

Tentative Ruling on Motion for Reconsideration of Sanctions and Motion for Issue and Evidentiary Sanctions and Attorney Fees: Plaintiff Lisa Reynolds moves for reconsideration of the ruling the Court made on Plaintiff's Motion for an Order Compelling a Site Inspection of Quality Care Home, Inc. Located at 935 Hallmark Drive, Redding, CA 96001. The motion was filed on June 25, 2024 and the hearing was on July 22, 2024. Plaintiff only seeks reconsideration of the amount of the monetary sanctions imposed. In addition to seeking reconsideration, Plaintiff also seeks issue and evidentiary sanctions as well as monetary sanctions based on the removal of security cameras at 935 Hallmark Drive ("Hallmark House"). The specific issue sanctions sought are:

1. Gurmeel Singh and Reema Singh observed Plaintiff complain to Jerry Kirouac, the local ombudsman, regarding QCH's insufficient food supply, via a security camera feed, on or about September 27, 2021.
2. The security cameras recorded and broadcasted "sound and video."

The specific evidentiary sanction sought is that Defendants Quality Care Home, Inc, Gurmeel Singh, Reema Singh, and Dawn Parra be precluded from introducing evidence regarding the security cameras. Plaintiff also seeks monetary sanctions. The motion is opposed by Defendants.

Objections Regarding Timeliness. The Court overruled the objections made regarding untimely filings in its Ruling dated October 21, 2024. The Court has reviewed all documents filed in support or opposition of this motion, including the Declaration of Adam Reisner filed on October 24, 2024.

Merits of Motion for Reconsideration. Plaintiff moves pursuant to CCP § 1008(b) that the Court reconsider the sanctions awarded to Plaintiff in Plaintiff's Motion for Order Compelling Site Inspection that was granted on July 22, 2024. In that motion, Plaintiff requested monetary sanctions for twelve hours of attorney time at \$550 per hour plus \$60 for the filing fee. No basis for the \$550 hourly rate was provided and the Court set the reasonable hourly rate at \$300. While the Tentative Ruling was to impose \$3,660 in sanctions, the Court reduced this to \$1,860 based on Defense counsel's arguments, which the Court recalls were largely based on how Defendants had complied with discovery to date and were genuinely trying to protect the privacy of the residents at the Hallmark House.

The new information that would permit the Court to reconsider the \$1,860 sanctions award is that at the time of the hearing, the Hallmark House was no longer operating as a residential care facility. This makes the arguments regarding patient privacy moot. Plaintiff learned of this after the motion was granted and the parties were scheduling the site inspection. Plaintiff has met their burden of showing new information and the Court will reconsider the amount of the previous sanctions.

Defendants argue that providing false information to the Court was a genuine mistake and that Gurmeel Singh, the owner of Quality Care Home, Inc. was under the mistaken belief that Plaintiff wanted to inspect all of his residences, not just the Hallmark House. The Inspection Demand is titled "Notice of Site Inspection of Defendant Quality Care Home, Inc. Located at 935 Hallmark Drive, Redding, CA 96001." The body of the Demand only lists 935 Hallmark Drive and no other properties. While Defendants have argued that the miscommunication occurred on a phone conversation between defense counsel Mark Vegh and Defendant Gurmeel Singh, no declaration was provided by Mark Vegh.

The Demand was served on May 8, 2024. According to Mr. Singh, the conversation between Mark Vegh and Gurmeel Singh took place in early July 2024. However, also according to Mr. Singh, he made the decision to stop operating the Hallmark House as a residential care facility in May of 2024 and arranged for it to be a private residence in June 2024 with an individual tenant stating in July of 2024. According to the timeline provided by

Mr. Singh, it appears very unlikely that an inspection demand was made to one specific house and while that specific house was no longer operational when Mr. Singh was informed of and spoke to counsel about the demand, Mr. Singh did not inform counsel of the change in status of the Hallmark House. Alternatively, Mr. Singh did inform counsel and it was not conveyed to co-counsel, or both counsel knew and knowingly provide false arguments to the Court. Based on the evidence provided, it is not possible for the Court to determine where the breakdown occurred or whether a breakdown actually occurred. However, the Court need not make such finding given the fee shifting nature of discovery statutes. The bottom line is that due the conduct of Defendant Gurmeel Singh and/or defense counsel, whether based on a genuine mistaken belief or intentional efforts to mislead the Court, Plaintiff had to file a motion to obtain an order to inspect the Hallmark House and Plaintiff should be compensated for the attorney time spent on the issue created by Defendants and counsel.

As the Court now has evidence of Mr. Candiotti's qualifications and experience, the Court finds \$350 to be a reasonable hourly rate. The Court will note that the Court generally does not award higher than \$350 per hour as that is a reasonable hourly rate in Shasta County. The exception would be when specialized counsel is unavailable in the area, however, there are several civil attorneys locally and in the Sacramento area who are able to handle employment law matters. \$350 per hour for twelve hours is \$4,200 plus the \$60 motion fee for a total of \$4,260. The Court **GRANTS** the Motion for Reconsideration and replaces the \$1,860 sanctions amount with sanctions against Defendants in the amount of \$4,260.

Merits of Spoliation Motion. CCP § 2023.030 allows a party to seek monetary, issue, evidentiary, or terminating sanctions for an opposing party's misuses of the discovery process. CCP § 2023.010 provides the methods that one can misuse the discovery process. Disobeying a court order to provide discovery is specifically enumerated in CCP § 2023.010(g). Spoliation of evidence is not one of the listed methods one can misuse the discovery process. However "[d]estroying evidence in response to a discovery request after litigation has commenced would surely be a misuse within the meaning of section 2023 (now 2023.010) as would such destruction in anticipation of a discovery request." *Cedars-Sinai Med. Ctr. v. Superior Court* (1998) 18 Cal. 4th 1, 12. "The general rule...is that if it is sufficiently egregious, misconduct committed in connection with the failure to produce evidence in discovery may justify the imposition of nonmonetary sanctions even absent a prior order compelling discovery or its equivalent." *New Albertsons, Inc. v. Superior Court* (2008) 168 Cal. App. 4th 1403, 1426.

Spoliation of evidence means the destruction or significant alteration of evidence or the failure to preserve evidence for another's use in pending or future litigation. *Willard v. Caterpillar, Inc.* (1995) 40 Cal. App. 4th 892, overruled on other grounds in *Cedars-Sinai Med. Ctr. v. Superior Court* (1998) 18 Cal. 4th 1. "A party moving for discovery sanctions based on the spoliation of evidence must make an initial prima facie showing that the responding party in fact destroyed evidence that had a substantial probability of damaging the moving party's ability to establish an essential element of his claim or defense." *Williams v. Russ* (2008) 167 Cal. App. 4th 1215, 1227.

In this matter, security cameras were removed from the walls in the Hallmark House, which is Plaintiff's former place of employment and the location of a numbers of the incidents alleged to have occurred in this case. The cameras are specifically relevant to what was visible by various individuals within the home, including an Ombudsman to whom Plaintiff alleges she made complaints and what Defendants themselves observed.

On December 1, 2022, Plaintiff sent a letter to Defendants Quality Care Homes, Inc. Gurmeel Singh, and Reema Singh detailing the claims Plaintiff intended to pursue. On page 5 of that letter, Section C is titled "Notice to Preserve Evidence." Defendants were noticed "to preserve all documents and electronically stored files which relate in any way to Ms. Reynold and/or her employment." Specifically listed are "computer systems, videotapes, removeable electronic media and other locations." Video cameras are not specifically listed. In the Notice of Site Inspection served May 8, 2024, Plaintiff wrote, "Plaintiff shall also inspect and copy Defendant Quality Care Home's security area where security monitors/equipment are kept, the location and rooms where all cameras,

video, and recording equipment/devices are kept, and any and all time keeping systems, including electronic and hard copy systems and videotapes on premises.” The Notice goes on to read, “Demand is also made for Defendant to take all steps to prevent any destruction or alteration of the above-referenced premises until such time that the inspection can be made.”

When Plaintiff inspected the premises in August of 2024, Plaintiff and her counsel learned that the cameras themselves were gone. Cords from the cameras were still attached to the walls. Regarding the cameras, Mr. Singh declared:

The two security cameras in Hallmark House had been removed back in early June. They weren’t even working. I left them there as a deterrent, but they didn’t record anything and haven’t recorded anything since they were initially installed. I left the camera wires on the walls because Hallmark House may still be used to operate a facility in the future. The rest of the house is left almost exactly the same as before for the same reason.

Decl. Gurmeel Singh, ¶ 6

The evidence provided supports the conclusion that the cameras were intentionally removed from the walls while a Demand for Inspection was pending. The Demand issued on May 8, 2024, and the cameras were removed in early June. “[I]ntentional spoliation of evidence by a party to the litigation to which it is relevant is an unqualified wrong.” *Cedars-Sinai Med. Ctr. v. Superior Court* (1998) 18 Cal. 4th 1, 17. This is a violation of the discovery process warranting sanctions.

The issue then turns to the various types of sanctions available and what are appropriate in this case. The trial court has broad discretion in selecting the appropriate sanction. *Los Defensores, Inc. v. Gomez* (2014) 223 Cal. App. 4th 377, 390. Trial courts should select sanctions tailored to the harm caused by the misuse of the discovery process. *Department of Forestry and Fire Protection v. Howell* (2017) 18 Cal. App. 5th 154. “The intentional destruction of evidence is a grave affront to the cause of justice and deserves our unqualified condemnation.” *Cedars-Sinai Med. Ctr. v. Superior Court* (1998) 18 Cal. 4th 1, 4.

Issue Sanctions. “The court may impose an issue sanction ordering that designated facts shall be taken as established in the action in accordance with the claim of the party adversely affected by the misuse of the discovery process. The court may also impose an issue sanction by an order prohibiting any party engaging in the misuse of the discovery process from supporting or opposing designated claims or defenses.” CCP § 2023.030(b).

As to the first issue sanction requested, this appears to go far beyond what Plaintiff would have been able to observe had the cameras not been removed. A discovery sanction is not meant to place a party in a better position than they would have been in had the violation not occurred. This request is **DENIED**.

As to the second issue sanction requested, Defendants’ removal of the cameras did prevent Plaintiff from obtaining evidence that the cameras broadcast sound and video. The Court notes that Mr. Singh did not say in his declaration that the cameras never broadcasted sound and video, only that they haven’t recorded anything since they were initially installed. It appears that Defendants are in the best position to know whether video and sound were broadcasted and did not dispute that fact. Plaintiff testified in her deposition on April 21, 2023, that “There was cameras with sound and video.” *Plaintiff deposition*, p. 75, lns. 3-4. This was over a year before the cameras were removed. This request is **GRANTED**.

Evidence Sanctions. “The court may impose an evidence sanction by an order prohibiting any party engaging in the misuse of the discovery process from introducing designated matters in evidence.” CCP § 2023.030(c). Precluding Defendants from introducing evidence regarding the security cameras is a difficult decision at this

point in the case because the request is broad and it is unclear what evidence regarding the cameras will be introduced by Plaintiff at trial. The Court will therefore **DEFER** this request to the jury trial.

Monetary Sanctions. “The court may impose a monetary sanction ordering that one engaging in the misuse of the discovery process, or any attorney advising that conduct, or both pay the reasonable expenses, including attorney's fees, incurred by anyone as a result of that conduct. The court may also impose this sanction on one unsuccessfully asserting that another has engaged in the misuse of the discovery process, or on any attorney who advised that assertion, or on both. If a monetary sanction is authorized by any provision of this title, the court shall impose that sanction unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.” CCP § 2023.030(a).

Plaintiff requests monetary sanctions in the amount of \$16,667.99. This is comprised of eight hours that Troy Candiotti spent on the motion at the rate of \$550 per hour,¹ the \$60 filing fee, 12.5 hours spent by Adam Reisner on the motion and site inspection at the rate of \$950 per hour, and the cost of Mr. Reisner's flight to and from Redding for the site inspection. As discussed above, the Court will set the reasonably hourly rate at \$350. The time spent by Adam Reisner attending the site inspection is not warranted as the Court finds it unlikely that the site inspection would have been cancelled had Plaintiff known about the cameras being removed. That leaves eight hours for Mr. Candiotti and .5 hours for Mr. Reisner at the rate of \$350 for a total of \$2,975 plus \$60 for the filing fee. Sanctions will be imposed against Defendants in the amount of \$3,035. The Court notes that Defendants also requested monetary sanctions. Based on this ruling, the Court will not impose any monetary sanctions against Plaintiff.

The motion is **GRANTED** in part and **DENIED** in part. As stated above, the Court has reconsidered its ruling from July 22, 2024. The ruling remains unchanged other than the increased amount of the sanctions imposed against Defendants of \$4,260. The motion for issue sanction: “Gurmeel Singh and Reema Singh observed Plaintiff complain to Jerry Kirouac, the local ombudsman, regarding QCH's insufficient food supply, via a security camera feed, on or about September 27, 2021.” is **DENIED**. The motion for issue sanction “The security cameras recorded and broadcasted ‘sound and video.’” is **GRANTED**. The evidentiary sanction that Defendants Quality Care Home, Inc, Gurmeel Singh, Reema Singh, and Dawn Parra be precluded from introducing evidence regarding the security cameras is **DEFERRED** until trial in this matter. Monetary sanctions are imposed against Defendants in the amount of \$3,035. The Court makes no ruling regarding whether CACI 204 will be an appropriate jury instruction and this ruling should not be considered to affect either party's ability to request or oppose such instruction at trial. Plaintiff provided a proposed Order that will be modified to reflect the Court's ruling.

IN RE PEREZ

Case Number: 24PB-0032657

Tentative Ruling on Petition to Approve Minor's Compromise: This Petition for Approval of Compromise of Claim for Minor is a settlement of minor Mauricio Zepeda Perez's claims from an automobile collision on August 2, 2023. The Petition was filed by the minor's parent, Imelda Perez. Probate Code § 3500 permits a parent to settle a claim for a minor so long as the claim is not against the parent and the petitioner is (1) Either parent if the parents of the minor are not living separate and apart or (2) The parent having the care, custody, or control of the minor if the parents of the minor are living separate and apart. Evidence in this regard was not submitted but can be provided in voir dire.

As for the Petition itself, California Rule of Court, Rule 7.950 states that a petition for court approval of a minor's

¹ The Court notes that the moving papers include that this includes Mr. Candiotti's time attending the site inspection, however, ¶ 10 of the Declaration of Troy Candiotti, which is the evidence of time spent by Mr. Candiotti, does not include Mr. Candiotti attending the site inspection.